IMPLEMENTATION PROOF · SOLO TAX PRACTICE

1040 Estimate Skill: Turning Raw Tax Documents Into a Live, Tie-Out-Ready Workbook

A reusable Claude Code / Codex Skill that spawns subagents to parse client tax forms, populate a locked-in 6-sheet Excel estimate template, and flag every open item preventing an accurate calculation. Built for a solo TY2025 practice; ran on 20+ clients as the first step of every 1040 engagement.

ROLE	USERS	SCOPE	STACK
Designed, built, tested, deployed & used live in solo practice	Solo preparer (me); 20+ 1040 clients; ~10 extensions	Federal TY2025; 4 filing statuses; W-2, 1099s, K-1, Sch C/D/E	Claude Code & Codex · Shortcut.ai CLI · Excel template lock-in

BEFORE › AFTER

BEFORE — 6 STEPS

1. **Gather client forms ad-hoc**
   No consistent structure for what was received, missing, or ambiguous.
2. **Hand-key values into a scratch sheet**
   Per-client setup; no reusable layout or constants.
3. **Rough calc or duplicate entry into tax software**
   Estimate built in the same tool used for the final return.
4. **Scenario testing by editing + reverting**
   Sch C / Sch E changes tested inside tax software, then rolled back.
5. **Open items tracked in notes / email**
   No single list of what is blocking the estimate.
6. **Compile estimate & follow up with client**
   Communication built by hand per client each time.

PER-CLIENT COST **~30–45 min**

AFTER — 4 STEPS

1. **Drop client docs into the client folder**
   W-2s, 1099s, K-1s, 1098, prior-year return, pay stubs.
2. **Run the Skill — subagents extract & populate**
   Per-form extraction in parallel; values land in the right cells; live formulas recalc.
3. **Review tie-outs & resolve flagged items**
   MATCH / MISMATCH / UNVERIFIED / MANUAL per field; follow-up list on Estimate and Summary.
4. **Deliver estimate, drive client follow-up**
   Safe-harbor gap & marginal-rate analysis drive the conversation and extension payment amount.

PER-CLIENT COST **~10 min**

NET DELTA **~70% faster per client · 2 fewer steps · consistent tie-out discipline across 20+ clients**

~10 min
PER CLIENT, FORMS TO LIVE ESTIMATE

20+
1040 CLIENTS, TY2025

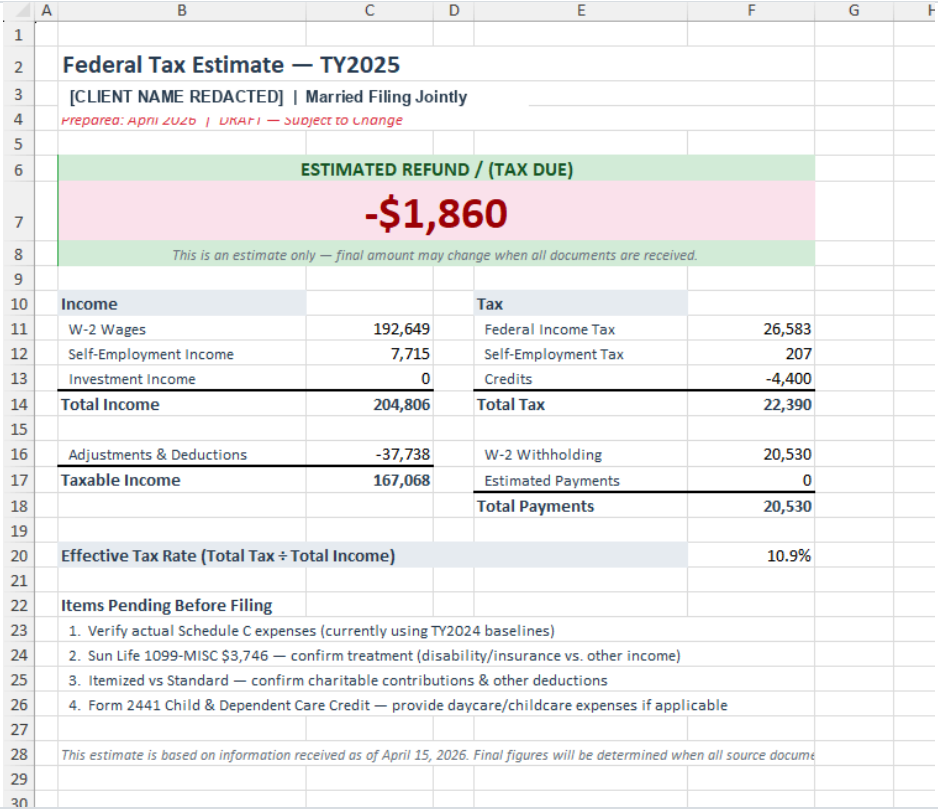
4
FILING STATUSES SUPPORTED

6
SHEET MODEL (EST / SCHC / D / E / RATES / SUM)

1st
STEP OF EVERY 1040 ENGAGEMENT

WHAT I BUILT

- **Claude Code / Codex Skill** (*build-1040-estimate-workbook*) that orchestrates subagents across client tax forms, consolidates extracted values, populates the template, and records unresolved items — modular and reusable across any client file mix.
- **Locked-in 6-sheet Excel template**: *Estimate*, *SchC*, *SchD*, *SchE*, *Rates*, and *Summary*. Live formulas (nothing hardcoded), manual-override cells for ambiguous items, and embedded TY2025 constants.
- **Tie-out discipline** per populated field: field name, workbook amount, source filename, source amount, status (*MATCH* / *MISMATCH* / *UNVERIFIED* / *MANUAL*), and a short note — so every number is traceable back to its source.
- **Advisor summary & analytics** on-page: refund-or-balance-due, safe-harbor gap, effective marginal rate (ordinary vs. LTCG), and an explicit *Unresolved / Follow-Up Items* list.



Federal Tax Estimate — TY2025

[CLIENT NAME REDACTED] | Married Filing Jointly

Prepared: April 2026 | DRAFT — Subject to Change

ESTIMATED REFUND / (TAX DUE)

-$1,860

This is an estimate only — final amount may change when all documents are received.

Income		Tax	
W-2 Wages	192,649	Federal Income Tax	26,583
Self-Employment Income	7,715	Self-Employment Tax	207
Investment Income	0	Credits	-4,400
Total Income	**204,806**	**Total Tax**	**22,390**
Adjustments & Deductions	-37,738	W-2 Withholding	20,530
Taxable Income	**167,068**	Estimated Payments	0
		Total Payments	**20,530**

Effective Tax Rate (Total Tax ÷ Total Income) 10.9%

Items Pending Before Filing

1. Verify actual Schedule C expenses (currently using TY2024 baselines)
2. Sun Life 1099-MISC $3,746 — confirm treatment (disability/insurance vs. other income)
3. Itemized vs Standard — confirm charitable contributions & other deductions
4. Form 2441 Child & Dependent Care Credit — provide daycare/childcare expenses if applicable

This estimate is based on information received as of April 15, 2026. Final figures will be determined when all source docume

HERO OUTPUT Summary cover — the page the client sees: headline refund / tax due, income and tax totals, effective rate, and an explicit list of items pending before filing. Personal names redacted; workflow numbers preserved.

IMPLEMENTATION — INPUTS, LOGIC, CONTROLS

INPUTS

W-2s, 1099-INT / DIV / MISC / NEC / K, K-1s, 1098 mortgage, prior-year return, and pay stubs (used by a W-2 sidebar when year-end wages must be estimated). User-entered assumptions fill manual-override cells when a source is ambiguous or missing.

PROCESSING LOGIC

The Skill spawns subagents to parallelize document extraction by form type. Extracted values are consolidated before the workbook is touched, then the template is populated only in designated manual-input cells. Schedules C, D, and E are populated only when the client actually has those items. Live formulas on *Estimate*, *Summary*, and *Rates* do all computation — nothing is ever hardcoded.

OUTPUTS & CONTROLS

A 6-sheet workbook with a refund / balance-due headline, safe-harbor analysis, marginal-rate analysis, and an explicit unresolved-items list. Every populated field is tie-out-validated (*MATCH / MISMATCH / UNVERIFIED / MANUAL*); the preparer signs off before any number is shared with a client.

	A	B	G	H
1	FEDERAL TAX ESTIMATE — [CLIENT NAME REDACTED] —		ADVISOR SUMMARY	
2	Filing Status: MFJ		Total Income	204,805.67
3	Build Date: 2026-04-15		AGI	204,702.36
4			Taxable Income	167,067.99
5			Regular Tax	26,582.96
6	INCOME		LTCG/QD Tax	0.00
7	W-2 Wages	192,648.62	SE Tax	206.62
8	Taxable Interest	0.00	NIIT	0.00
9	Ordinary Dividends	0.00	Total Tax	22,389.58
10	(Qualified Dividends)	0.00	Total W/H + Payments	20,529.50
11	Net Short-Term Capital Gain/(Loss)	0.00	REFUND / (TAX DUE)	-1,860.08
12	Net Long-Term Capital Gain	0.00		
13	Schedule C Net (#1)	7,548.00	Safe Harbor Gap	7,865.90
14	Schedule C Net (#2)	2,250.00	Marginal Rate (ordinary)	22.0%
15	Schedule C Net (#3)	-2,083.00		
16	Schedule E Net Income/(Loss)	0.00		
17	Other Income	4,442.05		
18	K-1 Pass-Through Income	0.00		
19	TOTAL INCOME	204,805.67		

LIVE MODEL Estimate sheet — income lines feed an Advisor Summary sidebar via live formulas.

	A	B
51	TOTAL PAYMENTS	20,529.50
52		
53	RESULT	
54	REFUND / (TAX DUE)	-1,860.08
55		
56	SAFE HARBOR ANALYSIS	
57	Prior-Year Total Tax	25,814.00
58	Prior-Year AGI	222,629.00
59	Safe Harbor Target	28,395.40
60	Current Payments	20,529.50
61	SAFE HARBOR GAP (underpayment)	7,865.90
62		
63		
64	MARGINAL RATE ANALYSIS	
65	Tax on +$1,000 Ordinary Income	220.00
66	Effective Marginal Rate (ordinary)	22.0%
67	Tax on +$1,000 LTCG	150.00
68		
69	UNRESOLVED / FOLLOW-UP ITEMS	
70	1. Schedule C expenses use TY2024 baselines — update when actual TY2025 expenses available	
71	2. Sun Life 1099-MISC $3,746.05 — treatment unclear (disability/insurance?). Currently in Other Income	
72	3. Itemized vs Standard — 1098 mortgage $19,080 + SALT $10K = $29K < $31.5K std. TY2024 itemized $52,928 — check charitable/other	
73	4. Form 2441 Child Care Credit — not modeled (no source docs). TY2024 return shows Form 2441 filed	
74	5. 1099-K CPA gross $17,349 — may not capture all practice income (direct client payments outside LaunchPay)	
75	6. J Mulkerin Realty — confirmed inactive TY2025, $0 everywhere. Not included	
76	7. 7. Minor-child UTMA 1099-INT $21.30 — excluded (below kiddie tax threshold)	
77		
78		

TIE-OUT + FOLLOW-UPS Safe-harbor & marginal-rate, then the on-sheet unresolved-items list that drives the next client email.

AI IN THE BUILD

AI is used as leverage at three specific seams. Durable calculation logic sits in live Excel formulas and a locked-in template; AI accelerates authoring, extraction, and review.

CLAUDE CODE & CODEX

Skill authoring & subagent orchestration

Prompt-engineered the Skill to be modular and reusable — same result regardless of the client-provided file mix. Subagents parallelize per-form extraction and consolidate before touching the workbook.

SHORTCUT.AI CLI

Optional doc-extraction path

Used only when it meaningfully reduces manual extraction; otherwise the Skill prefers a local structured pass for a more reliable result. Judgment to pick the least-fragile path per client.

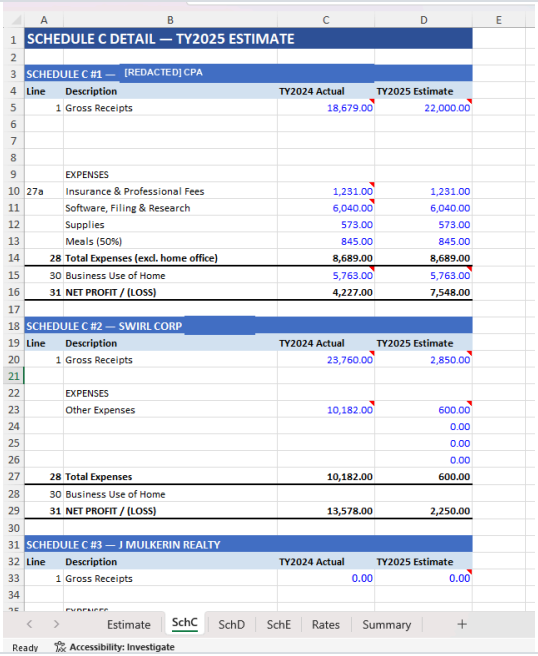
EXCEL TEMPLATE LOCK-IN

Reusable, dynamic, easily updatable

TY2025 brackets, standard deductions, SS/NIIT/Additional-Medicare thresholds, QBI, CTC, and safe-harbor factors hard-wired into a *Rates* sheet feeding the rest of the model. Swap constants, not formulas.

Personal AI capability on display: custom Skill authoring, subagent orchestration for parallel document parsing, deliberate use of AI for leverage (extraction & review) with deterministic math in the workbook — AI for speed, formulas for audit integrity.

SCENARIO MODELING — DYNAMIC SCHEDULE C & E



	A	B	C	D	E
1	SCHEDULE C DETAIL — TY2025 ESTIMATE				
2					
3	SCHEDULE C #1 — [REDACTED] CPA				
4	Line	Description	TY2024 Actual	TY2025 Estimate	
5	1	Gross Receipts	18,679.00	22,000.00	
6					
7					
8					
9		EXPENSES			
10	27a	Insurance & Professional Fees	1,231.00	1,231.00	
11		Software, Filing & Research	6,040.00	6,040.00	
12		Supplies	573.00	573.00	
13		Meals (50%)	845.00	845.00	
14	28	Total Expenses (excl. home office)	8,689.00	8,689.00	
15	30	Business Use of Home	5,763.00	5,763.00	
16	31	NET PROFIT / (LOSS)	4,227.00	7,548.00	
17					
18	SCHEDULE C #2 — SWIRL CORP				
19	Line	Description	TY2024 Actual	TY2025 Estimate	
20	1	Gross Receipts	23,760.00	2,850.00	
21					
22		EXPENSES			
23		Other Expenses	10,182.00	600.00	
24				0.00	
25				0.00	
26				0.00	
27	28	Total Expenses	10,182.00	600.00	
28	30	Business Use of Home			
29	31	NET PROFIT / (LOSS)	13,578.00	2,250.00	
30					
31	SCHEDULE C #3 — J MULKERIN REALTY				
32	Line	Description	TY2024 Actual	TY2025 Estimate	
33	1	Gross Receipts	0.00	0.00	
34					

Estimate | SchC | SchD | SchE | Rates | Summary

Ready Accessibility: Investigate

SCENARIO SURFACE Schedule C detail — side-by-side TY2024 Actual vs. TY2025 Estimate by line item across multiple businesses. Changing an estimate cell ripples live through the Estimate sheet and Summary headline — no round-trips through tax software to test a scenario.

BUSINESS IMPACT — DETAIL

~10 min

PER-CLIENT FORMS-TO-ESTIMATE CYCLE

- First step on every 1040 engagement once the Skill was locked in.
- Ran on 20+ clients during TY2025; used directly to compute extension payments for ~10 extensions after accuracy was validated.
- Dramatically faster review and client follow-up vs. prior ad-hoc approach.
- Scenario impact (Sch C / Sch E changes) visible instantly in Estimate and Summary without round-tripping through tax software.

20+
1040 CLIENTS HANDLED

~10 min
PER WORKBOOK RUN

6
SHEET LIVE-FORMULA MODEL

4
TIE-OUT STATUSES PER FIELD

QUALITATIVE IMPACT

- **Cleaner review:** every field carries a source filename and a tie-out status — defensible numbers, not guessed numbers.
- **Faster issue surfacing:** the on-sheet *Unresolved / Follow-Up* list drives the next client email automatically.
- **Scenario speed:** Sch C / Sch E changes reflow live through Estimate and Summary — no edit-and-revert cycles inside tax software.
- **Consistent client communication:** every client gets the same structured outputs (refund / tax due, safe-harbor gap, marginal rate, open items).

TRANSFERABLE RELEVANCE

- **AI fluency:** authored a reusable Skill that produces consistent results regardless of input mix — prompt & context engineering applied to a messy, document-heavy workflow.

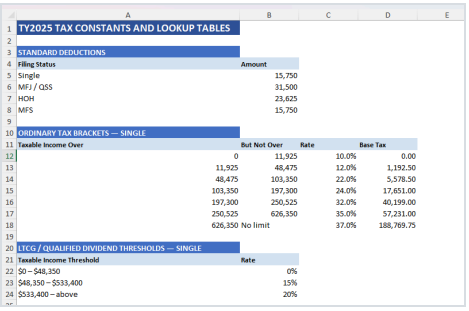
- **Reusable Excel template discipline:** locked-in constants, live formulas, and manual-override cells turn a spreadsheet into a dynamic, easily-updatable model — not a one-off worksheet.
- **Transferability:** the same framework (subagent extraction → template population → tie-out validation) applies to any spreadsheet-dominant internal workflow where raw documents must land in a structured model.
- **Implementation judgment:** chose the least-fragile path per client (local structured extraction over raw multi-file LLM ingestion), kept calculations live, and gated delivery on preparer signoff.

LIMITATIONS & CONTROLS ACKNOWLEDGED

- Federal only for TY2025; state tax logic, amended returns, and electronic filing are explicitly out of scope.
- Ambiguous items are flagged, not auto-classified — Sch C expenses can fall back to prior-year baselines until current-year is confirmed; Form 2441 and situational credits are only modeled when source documents are present.
- Preparer reviews and signs off before any number is shared with a client; the Skill produces a reviewable artifact, not a filed return.

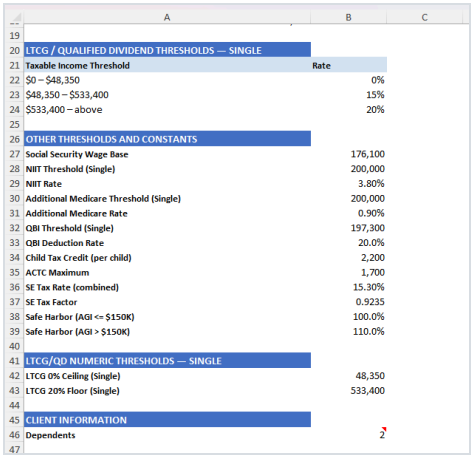
APPENDIX — TY2025 RATES SHEET

The *Rates* sheet is the single source of constants feeding the rest of the model — standard deductions, ordinary brackets for all four filing statuses, LTCG / QD thresholds, SS wage base, NIIT & Additional-Medicare thresholds, QBI, CTC, safe-harbor factors, and SE-tax inputs.



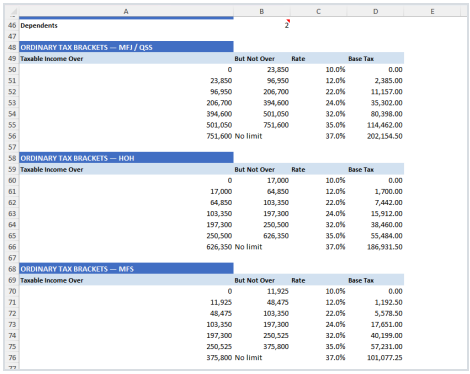
	A	B	C	D	E
1	TY2025 TAX CONSTANTS AND LOOKUP TABLES				
2					
3	STANDARD DEDUCTIONS				
4	Filing Status	Amount			
5	Single	15,750			
6	MFJ / QSS	31,500			
7	HOH	23,625			
8	MFS	15,750			
9					
10	ORDINARY TAX BRACKETS — SINGLE				
11	Taxable Income Over	But Not Over	Rate	Base Tax	
12	0	11,925	10.0%	0.00	
13	11,925	48,475	12.0%	1,192.50	
14	48,475	103,350	22.0%	5,578.50	
15	103,350	197,300	24.0%	17,651.00	
16	197,300	250,525	32.0%	40,199.00	
17	250,525	626,350	35.0%	57,231.00	
18	626,350	No limit	37.0%	188,769.75	
19					
20	LTCG / QUALIFIED DIVIDEND THRESHOLDS — SINGLE				
21	Taxable Income Threshold	Rate			
22	$0 – $48,350	0%			
23	$48,350 – $533,400	15%			
24	$533,400 – above	20%			

1/3 Standard deductions & Single brackets.



	A	B	C
19			
20	LTCG / QUALIFIED DIVIDEND THRESHOLDS — SINGLE		
21	Taxable Income Threshold	Rate	
22	$0 – $48,350	0%	
23	$48,350 – $533,400	15%	
24	$533,400 – above	20%	
25			
26	OTHER THRESHOLDS AND CONSTANTS		
27	Social Security Wage Base	176,100	
28	NIIT Threshold (Single)	200,000	
29	NIIT Rate	3.80%	
30	Additional Medicare Threshold (Single)	200,000	
31	Additional Medicare Rate	0.90%	
32	QBI Threshold (Single)	197,300	
33	QBI Deduction Rate	20.0%	
34	Child Tax Credit (per child)	2,200	
35	ACTC Maximum	1,700	
36	SE Tax Rate (combined)	15.30%	
37	SE Tax Factor	0.9235	
38	Safe Harbor (AGI <= $150K)	100.0%	
39	Safe Harbor (AGI > $150K)	110.0%	
40			
41	LTCG/QD NUMERIC THRESHOLDS — SINGLE		
42	LTCG 0% Ceiling (Single)	48,350	
43	LTCG 20% Floor (Single)	533,400	
44			
45	CLIENT INFORMATION		
46	Dependents	2	
47			

2/3 LTCG thresholds & other constants.



	A	B	C	D	E
46	Dependents	2			
47					
48	ORDINARY TAX BRACKETS — MFJ / QSS				
49	Taxable Income Over	But Not Over	Rate	Base Tax	
50	0	23,850	10.0%	0.00	
51	23,850	96,950	12.0%	2,385.00	
52	96,950	206,700	22.0%	11,157.00	
53	206,700	394,600	24.0%	35,302.00	
54	394,600	501,050	32.0%	80,398.00	
55	501,050	751,600	35.0%	114,462.00	
56	751,600	No limit	37.0%	202,154.50	
57					
58	ORDINARY TAX BRACKETS — HOH				
59	Taxable Income Over	But Not Over	Rate	Base Tax	
60	0	17,000	10.0%	0.00	
61	17,000	64,850	12.0%	1,700.00	
62	64,850	103,350	22.0%	7,442.00	
63	103,350	197,300	24.0%	15,912.00	
64	197,300	250,500	32.0%	38,460.00	
65	250,500	626,350	35.0%	55,484.00	
66	626,350	No limit	37.0%	186,931.50	
67					
68	ORDINARY TAX BRACKETS — MFS				
69	Taxable Income Over	But Not Over	Rate	Base Tax	
70	0	11,925	10.0%	0.00	
71	11,925	48,475	12.0%	1,192.50	
72	48,475	103,350	22.0%	5,578.50	
73	103,350	197,300	24.0%	17,651.00	
74	197,300	250,525	32.0%	40,199.00	
75	250,525	375,800	35.0%	57,231.00	
76	375,800	No limit	37.0%	101,077.25	

3/3 MFJ/QSS, HOH & MFS brackets.

Swap constants here in the next tax year — the rest of the model stays identical.